

FEDERAL MARITIME COMMISSION

Docket No. 23-13

USL AUTO EXPORTING INC.,

COMPLAINANT,

v.

EASY SHIPPING CORPORATION,

RESPONDENT.

COMPLAINANT’S REPLY BRIEF

I. INTRODUCTION

1. Comes now the Complainant, USL Auto Exporting Inc., by and through the undersigned vice president, and respectfully submits this **REPLY BRIEF** to address and refute the factual inaccuracies, misrepresentations, and legally insufficient defenses asserted in Respondent’s Brief and Respondent’s Proposed Findings of Fact. Contrary to Respondent’s assertions, the evidence unequivocally demonstrates that Easy Shipping Corporation has engaged in a pattern of procedural deficiencies, statutory violations, and misleading representations. The Respondent’s failure to adhere to regulatory obligations under 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(3), as well as its failure to provide a substantive defense, further justify granting judgment in favor of Complainant.

II. ARGUMENT

A. Respondent's Concession of Accurate Shipment Information

1. In Respondent's Proposed Findings of Fact, page 2, Respondent admits that it received accurate shipment information, as it did not identify or present any incorrect details allegedly provided by Complainant.
2. This admission further confirms that Respondent had full and accurate details at its disposal, yet still failed to act appropriately. The dock receipt unequivocally shows that the vehicle in question is a 2005 Toyota Tundra. (Ex. A, CX_27; Ex. F, RX_ [no page number]).
3. However, in direct contrast, Respondent inaccurately reported on the shipping instruction that the vehicle was a 2017 Toyota 4Runner, as reflected in the CMA CGM S.A. Bill of Lading. Ex. F, RX_ [no page number]).
4. This misrepresentation raises concerns about Respondent's handling of shipment documentation and further demonstrates its failure to ensure accuracy in critical shipping records.

B. Respondent's Misrepresentation of the Reason for the Container's Return

5. Respondent alleged that the container was returned due to the 2012 Yamaha FX SHO, yet failed to provide any official email from CMA CGM to substantiate this claim.
6. Respondent referenced Exhibit N¹ as supposed proof that CMA CGM informed Easy Shipping that the Yamaha FX SHO was a Jet Ski.²
7. However, upon review, Exhibit N is merely a payment confirmation and does not corroborate Respondent's assertion. This misrepresentation raises concerns regarding the accuracy of Respondent's claims and its attempts to mislead the Commission by citing irrelevant or inaccurate evidence.
8. While CMA CGM did investigate the 2012 Yamaha FX SHO, the decision to return the container was not based on the Yamaha FX SHO, but rather on the 2005 Toyota Tundra. The only official reason provided by CMA CGM for the return of the container was communicated via email to Respondent, stating that the return was due to the 2005 Toyota Tundra. (Ex. K, CX_44).

¹ . (Ex. N, RX_ [page number]), Resp't's Proposed Findings of Fact at 3, *USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13 (FMC 2025)).

² . *See* Resp't's Proposed Findings of Fact at 3, *USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13 (FMC 2025).

C. Respondent's Attempts to Shift Responsibility Are Unsupported by Law

2. Respondent's claim that it merely relied on the information provided by Complainant and had no duty beyond transmitting that information is legally and factually erroneous. Under 46 U.S.C. § 41102(c), a common carrier or NVOCC must establish, observe, and enforce just and reasonable practices in its dealings with cargo owners.³ The Federal Maritime Commission (FMC) has consistently held that a carrier cannot evade liability simply by blaming the shipper.⁴
3. Respondent was responsible for ensuring that the shipment was properly documented⁵, including the Importer Security Filing (ISF) and cargo descriptions.⁶ Respondent's argument that Complainant altered information post-booking is not supported by any admissible evidence and contradicts the record.⁷ Respondent has failed to provide documentation proving that Complainant misled it or failed to disclose correct cargo details.⁸

D. Respondent's Failure to Submit Required Documentation and Compliance

4. Respondent has not denied its failure to provide the original Bill of Lading (B/L) to Complainant, which would have allowed Complainant to identify and correct any errors before finalizing the shipment. Respondent's failure to explicitly deny this omission is

³ . A carrier's obligation includes verifying the accuracy of the information submitted for shipment. See *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 2003 FMC LEXIS 20, at 13 (FMC 2003) ("A carrier cannot simply accept a shipper's information at face value; it has an obligation to take reasonable steps to verify its accuracy.").

⁴ . The responsibility for accurately filing the ISF falls on the NVOCC or freight forwarder. See *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011) ("An NVOCC is responsible for ensuring compliance with all applicable regulations, including the accurate filing of necessary documentation such as the ISF.").

⁵ . *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 2003 FMC LEXIS 20, at 13 (FMC 2003) ("A carrier cannot simply accept a shipper's information at face value; it has an obligation to take reasonable steps to verify its accuracy.").

Also, the Commission held that the responsibility for accurately filing the ISF falls on the NVOCC or freight forwarder. See *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011) ("An NVOCC is responsible for ensuring compliance with all applicable regulations, including the accurate filing of necessary documentation such as the ISF.").

⁶ . Failure to ensure proper documentation constitutes a violation of the Shipping Act. *Id.*

⁷ . The burden of compliance with shipping documentation requirements rests with the carrier or NVOCC, not the shipper. See *Landstar Express Am., Inc. v. Fed. Mar. Comm'n*, 569 F.3d 493, 497 (D.C. Cir. 2009) ("Carriers are in the best position to ensure that all regulatory requirements are met.").

⁸ . The ISF Importer is responsible for timely, accurate, and complete submission of the ISF. See 19 C.F.R. § 149.2 ("The party causing goods to arrive within the limits of a U.S. port by vessel must ensure the ISF is properly filed.").

telling, as it demonstrates an acknowledgment of its non-compliance with industry standards and regulatory requirements.

5. Moreover, Respondent's attempts to avoid responsibility through general denials lack merit.⁹ Here, Respondent's failure to provide the Bill of Lading, coupled with its absence of a substantive rebuttal, further confirms its failure to fulfill its obligations under federal maritime regulations.¹⁰
6. As a result, Complainant was prevented from verifying shipment details and ensuring compliance with regulatory requirements. The failure to produce this essential document led to significant confusion, misrepresentation of shipment details, and financial losses to Complainant. Respondent's lack of transparency and failure to comply with its fundamental responsibilities should weigh against its credibility in these proceedings.

E. Respondent's Failure to Submit Required Compliance For the Return of the Container

7. Respondent asserts that it was not responsible for the Importer Security Filing (ISF) or cargo return processes. However, this assertion is demonstrably false. Responding to the Commission, Respondent falsely claimed that it does not handle exports into the United States and does not file ISFs. (See Resp't's Answers to the Comm'n's Order for Supplemental Information at 6, *USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13 (FMC 2025)).
8. However, publicly available trade data from Panjiva, an independent and widely used trade data platform, directly contradicts this statement. According to Panjiva, Respondent has been documented as an importer in at least 19 shipments into the United States.
9. This direct contradiction between Respondent's sworn statement and objective trade data demonstrates that Respondent knowingly provided false information to the Commission.
10. This direct contradiction between Respondent's sworn statement and objective trade data demonstrates that Respondent knowingly provided false information to the Commission. Given this material misrepresentation, Complainant requests that the Commission consider this false statement and grant appropriate relief, including adverse inferences against Respondent's credibility.¹¹

F. Respondent's Failure to Remit Full Payment of Return Basic Freight and Its Consequences

⁹ . *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 256 (1986), establishes that a party must provide substantive evidence rather than mere boilerplate denials when faced with material allegations.

¹⁰ . *See Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011) ("An NVOCC is responsible for ensuring compliance with all applicable regulations, including the accurate filing of necessary documentation such as the ISF.")

¹¹ . The FMC has held in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 2012 FMC LEXIS 16 (FMC 2012) that an NVOCC must comply with Customs and Border Protection (CBP) regulations and ensure that ISF filings are properly executed. The evidence submitted demonstrates that Respondent failed to fulfill these obligations.

11. Complainant respectfully requests that the Commission recognize that Complainant fulfilled its financial obligations by paying the basic freight fees and the return freight fees to Respondent. However, Respondent failed to remit the full amount to CMA CGM, underpaying by \$310.52, which directly resulted in the container not being released. See (Ex. K, CX_109).
12. This shortfall not only escalated the issue but also led to the accrual of additional costs, including inspection fees, misconduct fees, and detention fees. Despite Complainant's proactive efforts to mitigate damages, Respondent's negligence in handling the return process significantly exacerbated the problem.
13. As evidenced by Ex. K, CX_109, CMA CGM notified Complainant on September 20, 2023, that Respondent had only partially paid invoice NAOB0367804, resulting in a deficit of \$310.52. This invoice represents the return basic freight charge, a payment essential for the release of the cargo. Respondent's failure to remit the full amount directly impeded the repatriation of the container to the United States.
14. Moreover, Respondent's negligence in failing to nominate a shipper or consignee for the return of the cargo further aggravated the issue. This omission, coupled with the inadequate payment, constitutes an unjust and unreasonable approach to fulfilling their obligations as a common carrier. Such actions contravene the principles of fair and responsible carriage and have significantly hindered the efficient and orderly resolution of the shipment's return.
15. Furthermore, Respondent did not provide any evidence to support its statement in *Resp't's Proposed Findings of Fact at 4, USL Auto Exporting Inc. v. Easy Shipping Corp., Docket No. 23-13 (FMC 2025)*, where it alleges:

“Khalid hired a third party that handles return shipments and imports into the United States as Easy Shipping does not offer those services. Khalid is aware of this because Khalid has done business with Easy Shipping in the past on several occasions.”

Similarly, Respondent failed to provide any proof to substantiate its claim that:

“Khalid hired a third party to work on getting the cargo back and then began to submit payments to Easy Shipping which were past due for a prior shipment but not payments for this shipment that is the subject of this action, this resulted in a late fee being assessed by CMA in the amount of \$75.”

16. Contrary to Respondent's unsupported assertions, Complainant did not engage a third party until it became evident that Respondent would not take action on the matter and had underpaid the return basic freight by \$310.52. Complainant acted only when it was clear that Respondent would not fulfill its responsibilities and intervened after the container had already been returned to Savannah. Complainant's actions were taken in good faith to

mitigate further losses, as required under federal maritime law; however, by that point, it was too late to fully mitigate the damages already incurred.

G. Respondent's Misrepresentation Regarding the Release of the Container

17. Respondent falsely used an email from Complainant to misrepresent the status of the container as released, although Respondent, as the named shipper on the Bill of Lading, was the only party authorized to communicate with CMA CGM for the official release. It is illogical to suggest that Complainant could have secured a release without Respondent's direct involvement, making Respondent's assertion demonstrably false.
18. In Resp't's Proposed Findings of Fact at 4, *USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13 (FMC 2025), Respondent falsely asserts:

"Approximately two months later, in September of 2023, Easy Shipping received an automated email from CMA informing Easy Shipping that the cargo had been returned and released in July of 2023. This email is known as the discharge of cargo notification (See Appendix Exhibit P)."

19. This statement is blatantly misleading, as the discharge of a container at a port does not equate to its release. Given Respondent's experience in the shipping industry, such a claim is unacceptable and suggests an intentional effort to deceive the Commission. Any experienced carrier or freight forwarder understands that a container must clear all customs, freight, and regulatory obligations before being considered released.
20. Further, Respondent contradicts itself in Resp't's Proposed Findings of Fact at 4 by stating:

"Fast forward to July 6, 2023, Khalid seems to have secured the return of the cargo and reached out to Easy Shipping informing them the container is back in Savannah, GA although Easy Shipping had not received any communication from CMA regarding the release and return of the cargo at this time (See Appendix Exhibit O)."

21. There is no plausible scenario where a release could occur without the shipper's involvement, and in this case, the shipper was Respondent. Since Respondent was the only party authorized to coordinate with CMA CGM for the cargo release, it is impossible that Complainant could have independently secured the release. This further confirms Respondent's attempt to deceive the Commission by misrepresenting the actual status of the cargo.

H. Respondent's Distorted and Baseless Accusations Against Complainant

22. It is extremely troubling that Respondent is attempting to weaponize Complainant's good-faith efforts to secure the release of the container as an allegation of fraud. Respondent's failure to provide the necessary release left Complainant with no choice but to directly communicate with CMA CGM in an effort to prevent the total loss of the cargo. Now, Respondent is disgustingly twisting these efforts and using them as a basis for false accusations against Complainant.
23. In *Resp't's Proposed Findings of Fact at 4, USL Auto Exporting Inc. v. Easy Shipping Corp., Docket No. 23-13 (FMC 2025)*, Respondent alleges:

“It is this time period between May of 2023 and September of 2023 that Easy Shipping believes Khalid was contacting and communicating with CMA as if he was Easy Shipping. This was later discovered when Khalid sent an email directly to CMA and when CMA replied to that email, they copied Easy Shipping on it. CMA copying Easy Shipping on this reply led to the disclosure of a thread of emails that Khalid was sending to CMA falsely representing himself to CMA as Easy Shipping (See Appendix Exhibits R and S).”

24. This outrageous claim is completely unfounded and ignores the reality of the situation. Complainant was forced to reach out to CMA CGM directly because Respondent failed to provide the necessary release—a responsibility that rested solely with Respondent as the named shipper on the Bill of Lading. It was Respondent's inaction, not Complainant's conduct, that caused the delay and complications.
25. There is no evidence that Complainant falsely represented itself as Easy Shipping—only that CMA CGM responded to Complainant's inquiries and, at some point, copied Respondent in its replies. This does not equate to fraud but rather demonstrates that CMA CGM recognized Complainant's legitimate interest in securing the release of its cargo—an interest that Respondent neglected entirely.
26. By directly communicating with CMA CGM, Complainant discovered that the actual reason for the container's non-release was Respondent's underpayment of \$310.52 toward the return basic freight. This crucial information, which Respondent never disclosed, was only revealed because Complainant took the initiative to engage with CMA CGM to resolve the issue. Had Respondent been forthcoming about this shortfall from the beginning, the unnecessary delays and additional costs could have been avoided.
27. Respondent was copied (CC'd) on these emails between Complainant and CMA CGM¹², meaning that it was fully aware of the communications taking place. At no point did Respondent intervene, correct, or take any action to assist in resolving the matter. Instead,

¹² . (Ex. R, RX [no page number]; Ex. S, RX [no page number]).

Respondent remained silent while allowing the situation to worsen, only to later use Complainant's good-faith efforts as a basis for its baseless fraud accusations.

28. Respondent's attempt to frame Complainant's efforts as fraudulent is nothing more than an effort to deflect blame and obscure its own failures. This dishonest and reprehensible tactic highlights Respondent's pattern of bad-faith conduct throughout this proceeding. The Commission should see through this baseless accusation for what it is: an attempt to distract from Respondent's negligence and mismanagement of its contractual and legal obligations.

I. Respondent's Failure to Provide the Necessary Release for Customs Clearance

29. Respondent relies on the claim that a third party was hired to handle the customs clearance of the container; however, this argument is misleading and incomplete. While a third party may have been involved in facilitating the process, Respondent was still responsible for providing the necessary release, without which Complainant could not proceed with customs clearance.
30. In Resp't's Proposed Findings of Fact at 4, *USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13 (FMC 2025), Respondent states:

"On August 9, 2023, the Complainant requested from Respondent the bill of lading so that he may complete the ISF with a third party who was handling the return of the shipment (See Appendix Exhibit Q)."

31. However, it was not possible to clear the container through customs because Respondent failed to pay CMA CGM in full and did not provide the required release on time. The customs clearance process could not move forward without Respondent's cooperation in fulfilling its financial and logistical obligations.
32. Respondent's failure to provide the release on time not only delayed the entire clearance process but also resulted in unnecessary additional costs for Complainant. The obligation to facilitate the release of the cargo remained solely with Respondent, and its failure to do so directly contributed to the complications surrounding the shipment's return.
33. Respondent cannot shift responsibility to Complainant or a third party when it was Respondent's own failure to remit full payment and issue the necessary release that prevented timely customs clearance. This further demonstrates Respondent's non-compliance with its fundamental shipping obligations and attempts to deflect responsibility for its mismanagement of the process.
- 34.

J. Respondent's False Accusations of Fraud and Misrepresentation

35. Respondent's allegation that Complainant engaged in fraud lacks evidentiary support and constitutes a bad-faith litigation tactic. The record contains no evidence that Complainant impersonated Respondent in communications with CMA CGM. In fact, Respondent's claims rely on conjecture rather than admissible proof.¹³
36. The FMC has sanctioned parties for making baseless fraud allegations in *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 1988 WL 340659 (FMC 1988), where the Commission held that unsupported fraud claims warrant monetary penalties and potential dismissal of defenses. Respondent's failure to substantiate its accusations similarly warrants sanctions for wasting the Commission's time and resources.

K. Respondent's Abandoned Denial of a Business Relationship with Complainant

37. Respondent falsely claims that it was unaware of Complainant, USL Auto Exporting Inc., and that it only interacted with an individual named Khalid, believing him to be a sole proprietor. Respondent alleges:

“Although Complainant USL Auto Exporting, at all times relevant, Easy Shipping was always under the impression that Khalid was a sole proprietor not operating under any legal entity. Further, Easy Shipping has never communicated with, never knew of, nor was aware of any legal entity USL Auto Exporting nor an individual by the name of Anis Houssein, the individual actively participating in these proceedings.”

38. However, Respondent has already effectively abandoned this denial in prior proceedings. The Commission has recognized that Respondent's initial assertion of no business relationship with Complainant was abandoned in its opposition to Complainant's Motion for Summary Judgment. Specifically, the Order Denying Complainant's Motion for Summary Judgment states:

"This denial appears to be abandoned in Easy Shipping's opposition to the motion for summary judgment. See also Joint Status Report, p. 1 (acknowledging that there is an agreement between Complainant and Respondent)." See Order Denying Complainant's Motion for Summary Judgment at 3, USL Auto Exporting Inc. v. Easy Shipping Corp., Docket No. 23-13 (FMC Mar. 18, 2024).

¹³ . *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 1988 WL 340659 (FMC 1988) ("Unsupported fraud claims warrant monetary penalties and potential dismissal of defenses.").

Also in *Barbara Ochoa Corp. v. Acceptance Indemnity Insurance Co.*, the U.S. District Court for the Southern District of Texas emphasized that "mere allegations of bad faith, fraud and statutory violations, or simple recitations of the statutes without more, will not support the claims asserted and survive judicial scrutiny."

39. Respondent's continued reliance on this abandoned argument is misleading and contrary to the factual record. The Joint Status Report explicitly acknowledges that a business agreement existed between Complainant and Respondent, disproving Respondent's assertion that it never conducted business with USL Auto Exporting Inc.
40. Given that Respondent has already abandoned this denial in its prior filings, any attempt to revive it now constitutes bad-faith litigation conduct and an effort to mislead the Commission. Complainant requests that the Commission disregard Respondent's argument as meritless and inconsistent with the established record.

III. REQUEST FOR JUDGMENT, SANCTIONS, AND PREJUDGMENT INTEREST

41. Given the overwhelming evidence of Respondent's non-compliance, Complainant respectfully requests that the Commission:
- a. Grant judgment in favor of Complainant on all counts, affirming Respondent's violations of 46 U.S.C. § 41102(c) and § 41104(a)(3).
 - b. Award damages to Complainant in the amount of \$52,710.00, reflecting actual losses incurred due to Respondent's actions.¹⁴
 - c. Impose monetary sanctions on Respondent for making baseless fraud allegations and engaging in bad-faith litigation tactics, in line with FMC precedent in *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*.
 - d. Award prejudgment interest in the amount of \$5,006.40, calculated in accordance with 46 U.S.C. § 41305(a) and 46 C.F.R. § 502.253¹⁵, as set forth in Complainant's Motion to Recover Prejudgment Interest.¹⁶

IV. SUPPLEMENTATION OF REPLY BRIEF

42. Complainant reserves the right to supplement this Reply Brief upon receipt of additional information from Respondent and CMA CGM.

¹⁴ . Under 46 U.S.C. § 41305(b), the Commission has the authority to award reparations to a complainant who has suffered financial harm due to a respondent's violation of the Shipping Act. The statute provides that "a person may file with the Federal Maritime Commission a complaint alleging a violation of this part and may seek reparations for injury caused by the violation." See 46 U.S.C. § 41305(b) (2022). Additionally, the FMC has consistently awarded damages where a party's unlawful conduct has resulted in financial loss to the complainant. See, e.g., *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 2003 FMC LEXIS 20, at 15 (FMC 2003) (holding that a complainant is entitled to damages where a respondent's actions violate the Shipping Act).

¹⁵ . In *Seaboard Marine, Ltd. v. Fed. Mar. Comm'n*, 2010 FMC LEXIS 29 (FMC 2010) ("The Commission has discretion to award prejudgment interest when delay in payment results in financial harm to the complainant.").

¹⁶ . Complainant has formally requested prejudgment interest by submitting a motion before the Commission. See *Complainant's Motion to Recover Prejudgment Interest*, Docket No. 23-13 (FMC Jan. 3, 2025) (received by the Commission on Jan. 3, 2025).

43. Complainant reserves the right to supplement this Reply Brief upon receipt of additional information from Respondent and CMA CGM. Respondent is directed to produce to Complainant no later than March 12, 2025, the following documents related to the shipment of container TCKU6353393 under Bill of Lading CMDUNAM6150781B:
- a. Emails, messages, and internal communications related to the shipment.
 - b. Correspondence with CMA CGM regarding the return of this shipment.
 - c. Communications with the consignee, Drop Atlas Shipping Agencies Co., regarding the return.
44. Complainant shall serve copies of all documents produced by CMA CGM to Easy Shipping by March 19, 2025.

V. CONCLUSION

45. For the foregoing reasons, Complainant **USL Auto Exporting Inc.** respectfully urges the Federal Maritime Commission to grant judgment in its favor, impose sanctions against Respondent for its procedural misconduct, and award the requested damages and prejudgment interest.

DATED: February 24, 2025

Respectfully submitted,
USL AUTO EXPORTING INC.,
By: /s/ ANIS HOUSSEIN
ANIS HOUSSEIN
general.manager@uslautoexporting.com
84 Kensington Dr., PISCATAWAY,
New Jersey 08854
Tel.: (862) 338-0889
Vice President for COMPLAINANT
USL AUTO EXPORTING INC.

CERTIFICATE OF SERVICE

I hereby certify that on February 24, 2025, a true and correct copy of this **COMPLAINANT'S Reply Brief** was served via electronic mail to the following:

- **Counsel for Respondent, Easy Shipping Corporation**
Fadi Y. Rafati
Rafati, Ward & Associates, P.C.
Email: frafati@rafatilegal.com

Anis Houssein

Anis Houssein

Vice President for COMPLAINANT
USL AUTO EXPORTING INC.,